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A Key Supplier Failed a Labor Audit. Now What?

by Sandeep Puri

PAULA SANTOS, the chief sustainability officer of Vestenborg Home, listened as the third-party audit team explained its findings. It was the final review session of her annual supplier audit cycle, part of a commitment the Danish furnishings company had made several years earlier. The goal was to ensure that 100% of Vestenborg's vendors complied with strict ethical standards covering labor practices, health and safety, and environmental impact. The auditors had spent weeks in India, Vietnam, and Thailand to inspect facilities, review

records, and interview workers. Most of what Paula had seen so far was familiar: a few documentation gaps and delays in conducting safety drills.

But then came the report on Greenspan. For 14 years the Vietnamese foam producer had been a cornerstone of Vestenborg's supply chain. Currently it was tasked with providing the foam for the company's new EcoLuxe mattress, its most ambitious product launch in a decade and the centerpiece of its global sustainability campaign. Vestenborg, meanwhile, represented roughly



a third of Greenspan's total production volume.

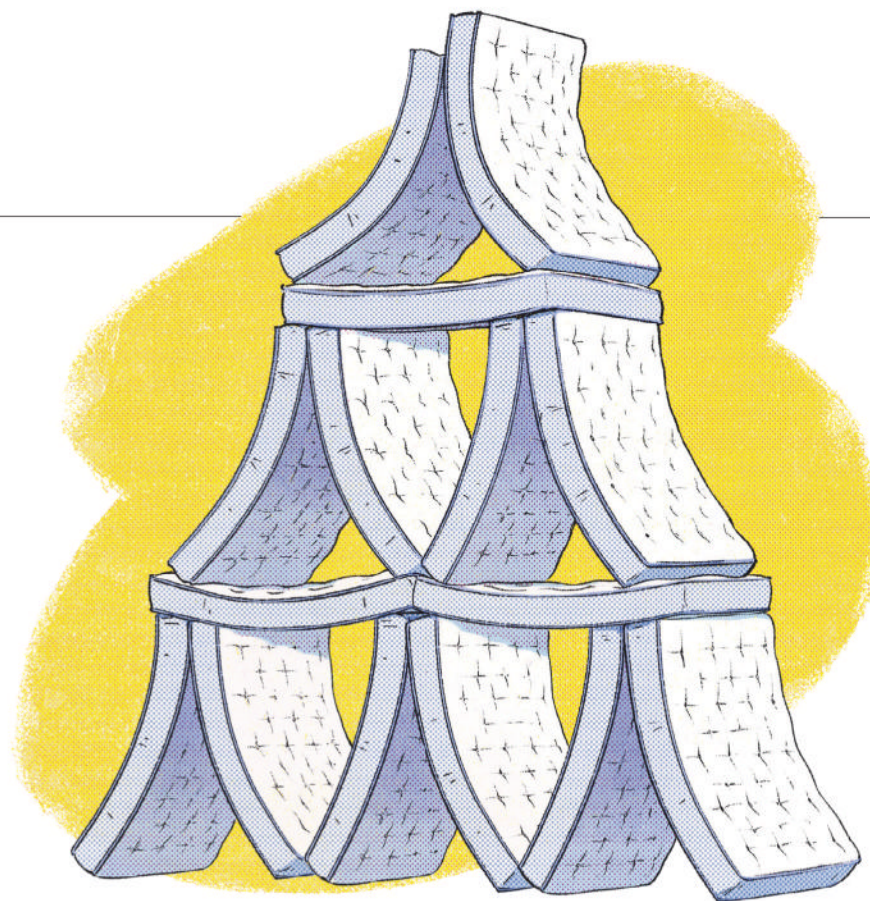
Previous audits of the supplier had identified minor issues, such as administrative lapses and incomplete logs. But the reviews were otherwise clean, and corrective action had been swift. Greenspan had always been exceptionally reliable and responsible—until now.

"Our three findings are all serious issues," said Tom Barney, the audit lead. The first problem was excessive overtime. Greenspan employees had routinely logged between 70 and 84 hours per week over the past few months. Vestenborg's cap was 60.

The second finding had to do with safety standards: An emergency exit in the factory had been partially blocked by stored raw materials.

"The final problem is the most serious," said Tom. "Two workers at Greenspan were only 14 years old. Both were hired through a subcontractor, their identification documents apparently falsified. The discrepancy surfaced during employee record cross-checks and confidential worker interviews."

Paula's head was spinning. The timing could not be worse, because Vestenborg's mattress launch depended on Greenspan's foam core. Internal forecasts projected strong first-year revenue and margins for the product. Marketing calendars were fixed. Retailers were aligned. Greenspan was the only supplier capable of producing the foam within the launch window; finding



another would take months. If Paula had to tell Greenspan to halt production, EcoLuxe would be delayed.

As the auditors packed up their materials, Paula made a decision. Greenspan had been one of Vestenborg's most trustworthy suppliers for over a decade. So, before she shared these findings with the rest of the executive team, she wanted to understand what had happened—and whether it was contained. She asked her assistant to put her on the next flight to Vietnam.

RULES COLLIDE WITH REALITY

Greenspan's factory in Binh Duong was humming when Paula arrived. Forklifts moved steadily between curing lines. Workers in uniforms trimmed foam cores for what she knew were

EcoLuxe mattresses; a finished pile was stacked in labeled batches along the wall. The whole factory seemed clean and well-organized. An executive assistant led Paula upstairs to a modest office, where a young man rose to greet her.

"You must be Nguyen Van Minh," Paula said. From past interactions with Minh's proud father, the longtime head of Greenspan, she knew that Minh had joined the family business after spending years in Australia for university and business school. But she was surprised that his father wasn't present.

"Very nice to meet you," Minh said. "My father has stepped back due to health issues. I lead the company now."

"Oh. When did you take over?"

"Almost a year ago. Dad isn't going to come back to work, but we only realized



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that recently. I wanted to tell your leadership team in person.”

While the assistant poured two cups of tea, Minh jumped into a speech he had obviously rehearsed. “This is a new era,” he began. “We are upgrading facilities, investing in automation, improving conditions for workers. We want to grow with Vestenborg for the long term.”

“I understand the partnership is important to you,” Paula said. “That’s why I’m here.” She pulled out the audit report and opened it to the section on Greenspan. “We need to talk about the underage workers—that’s a zero-tolerance policy for us,” she said.

“Those workers came through a subcontractor. We terminated them.”

“Yes, but they were on your floor when the auditor visited.”

There was a pause. “This is not the full story,” Minh said carefully. “The boys were orphans working at a roadside food stand. A supervisor brought the situation to my attention. We believed giving them employment was better than leaving them on the street.”

“But the age discrepancy?”

“We knew their documents were... unclear,” he admitted. “We believed their jobs here would be temporary while we helped them find a home. We intended to resolve it quietly. Unfortunately, it took several months.”

“Was their hiring about labor costs?”

“No. We pay all workers the same. It was not cost-driven.”

“I would be more inclined to believe you if there weren’t other violations.”

Minh pushed his chair back. “Let me show you something,” he said, and led her downstairs to a section of the factory that had been reconfigured. Against

one wall was a rest area with bunk beds, neatly arranged with clean sheets and a wall of lockers. “We installed this during the EcoLuxe ramp-up,” he said. “Workers were doing long shifts. It was difficult for some to commute home and back between rotations. We wanted them to rest properly. We have a goal of eliminating all industrial accidents, and a proper rest area was part of our plan.”

“But why were they working long shifts in the first place?” Paula asked.

“Peak months were heavy,” he said. “Many employees worked more than 60 hours per week. We couldn’t find and train more people to avoid the overrun. I regret this; it was poor planning. But we compensated generously. Overtime was paid at premium rates. Many employees preferred the extra income.”

Paula glanced toward the emergency exit that had been obstructed. “The materials blocking the exit?” she asked.

“We moved inventory to create this resting space. It was not permanent.”

“When you made these decisions, did you consider informing us?”

Minh hesitated. “As the managing director, I must make hard decisions. I believed we were acting responsibly. We did not want to cause alarm.”

Paula sighed. On paper the violations were clear: underage labor, excessive overtime, a blocked exit. In practice they were wrapped in motives that were harder to dismiss. Having taken over for his father, Minh was trying to modernize the family factory, improve worker welfare, and meet the demands of his client’s most important launch.

But he had also demonstrated something else: When faced with a conflict between compliance and what he saw

as a morally better outcome, he had followed his own judgment rather than an auditor’s checklist. Paula wondered whether he would do so again.

As she returned to the hotel, a question crystallized in her mind: Could a sustainability-driven company like Vestenborg Home tolerate a partner that believed rules were flexible when the cause seemed noble? She decided to explain this complexity to the rest of the management team and ask for advice.

WHAT KIND OF COMPANY ARE WE?

At Vestenborg headquarters two days later, the executive conference room was quiet as Paula described the audit and her visit to Vietnam.

A few seats down, Aylin Demir, the head of corporate affairs, broke the silence. “If this surfaces publicly—particularly the underage labor—the nuance that Paula discovered disappears,” she said. “The news stories won’t lead with ‘compassionate intent.’ They’ll lead with ‘Vestenborg supplier knowingly employs children.’ The sustainability positioning of our green product will seem hypocritical.”

Erik Lund, the chief operating officer, spoke next. “Let’s be clear about the operational side,” he said. “If we suspend Greenspan, the EcoLuxe launch slips. That’s a material revenue impact.”

“A delayed launch is painful,” said Freja Kristensen, the chief marketing officer, folding her arms. “But reputational damage tied to hypocrisy? That’s far worse. If we’re seen as compromising on child labor, the ‘eco’ mattress campaign collapses anyway, and it would be the least of our problems.”



“What’s our legal requirement?” cut in Daniel Hartmann, the CEO.

“There’s no automatic trigger,” replied Niels Thomsen, the general counsel. “European due diligence frameworks require remediation and documentation. They don’t mandate

terminating the supplier relationship. North American and Japanese stances are similar—we’re expected to demonstrate responsible action.”

Paula took a breath. “Since I returned from Vietnam, I’ve spoken to several other chief sustainability officers off the record,” she said. “Some suggested suspending the supplier immediately. Others would remediate intensively and keep production going. Many companies publicly claim

to have zero tolerance in these situations, but often they make contextual judgments.”

“So there’s no industry standard,” Daniel said, nodding slowly. “Then let’s define our options.”

“Option one,” Paula began, “is immediate suspension until Greenspan can demonstrate full compliance through independent verification. That would ensure our standards are met but would almost certainly delay EcoLuxe.

How should Vestenborg respond to Greenspan’s violations?

THE EXPERTS RESPOND.



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First, Paula should have a sit-down with Minh.

She must reaffirm Vestenborg’s values, policies, and code of conduct, making clear that compliance isn’t a bureaucratic exercise: The company’s employees, customers, and investors expect certain non-negotiable standards.

From there she should work with her operations and sourcing teams to develop a remediation plan for the audit violations. That often means giving the supplier a defined period—say, 60 days—to create a credible plan, followed by

another audit to assess whether it’s translating into real change. The goal is to fix problems and to answer a deeper question: Does Greenspan still have the willingness and the capacity to meet Vestenborg’s standards?

How the supplier responds will be telling. If Minh continues to explain away violations, that signals misaligned values. But if he is collaborative and receptive, there is hope for a path forward. One meeting is not enough to make that judgment; Paula needs to watch how he acts over time.

Several of the violations point to capacity constraints rather than malicious intent. Take the bunk beds that Minh proudly shows Paula. While they’re presented as a benevolent gesture toward workers, they may indicate that the factory can’t absorb Vestenborg’s production demands. That should trigger a conversation about why breaking the rules felt necessary and what needs to change so that it doesn’t happen again. In many cases the answer involves better production planning, more-realistic lead times, or investments in workforce systems—areas

where brands often bear some responsibility.

Paula then needs to establish a rhythm of engagement, including specific milestones and check-ins, to repeatedly reinforce expectations. If remediation fails, she has an obligation to disengage responsibly. That means giving the factory sufficient notice—often months, sometimes longer—to replace the lost volume and avoid mass layoffs while Vestenborg moves production elsewhere.

The need for an extended assessment means it’s safe to assume that Vestenborg is committed to Greenspan for the mattress launch, so Paula has to manage internal dynamics. Finance, sourcing, marketing, and communications should align around a shared narrative. If questions arise from nongovernmental organizations, journalists, or investors, the company should have a clear, honest response: This is a long-term partner, violations were identified, and Vestenborg is working with the supplier to investigate and remediate them.

Ultimately, Paula’s challenge is to run a disciplined, collaborative



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“Option two: Continue production under strict oversight. We’d need on-site compliance monitoring, weekly reporting, and formal corrective milestones. This option would preserve the launch timing—but if the violations are discovered, it could appear as though we continued business with a supplier that tolerates child labor.

“Option three: a hybrid. Suspend Greenspan, similar to option one, but court other suppliers in case we need a

new foam producer. This would likely delay EcoLuxe’s launch, but it could give us more options later on.”

“It’s a tough call,” Daniel said, his candor loosening the tension in the room. He looked at Paula. “I’ll support your recommendation. We know what’s at stake. The wrong decision could derail our flagship launch—or deal a reputational blow to everything we claim to stand for.”

Paula glanced at the EcoLuxe revenue projections and then at the

audit report on the table in front of her, the team’s comments pushing her thoughts one way and then another. She knew that this decision was not just about a supplier, a product, or even a launch date—it was about what Vestenborg’s sustainability promise truly meant. ■



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process that reveals what kind of partner Greenspan really is. If she does that methodically and transparently, she’ll be able to make a decision she can stand behind, whatever the outcome.



AURET VAN HEERDEN is the founder and CEO of Equiception Business and Human Rights.

Paula should audit Greenspan again and observe the factory over several days.

This case may seem benign relative to other supply chain scandals, but that appearance rests heavily on Minh’s explanations, which may be accurate—or may not. Although Vestenborg has a long history with Greenspan, Minh is new to the relationship; Paula didn’t even know about his leadership transition. She hasn’t built trust with him, so the situation requires deeper investigation.

Some of Minh’s explanations are plausible. Employing orphans or vulnerable youth does happen in parts of Asia, often with local government knowledge or approval. But given current labor shortages, Vietnamese factories sometimes turn to questionable labor brokers or informal arrangements that are far more nefarious than what Minh describes. Best case, Paula confirms that the violations are limited and explainable. Worst case, she uncovers risks that make the Greenspan relationship untenable.

If the next audit finds true malfeasance, Paula should terminate the contract, delay the EcoLuxe launch, and find a new supplier. But otherwise she should focus on remediation. International

guidelines from the United Nations and the Organisation for Economic Co-operation and Development encourage doing so unless a supplier is a serial offender or acting in bad faith, because abruptly cutting ties leads to job losses and worse outcomes for workers. Importantly, Paula is on solid ground legally. Most due diligence regimes require good faith efforts to address problems, not guaranteed outcomes. Remediation provides that safe harbor while preserving leverage over the supplier.

Paula’s efforts should begin with a root cause analysis, and it might point to Vestenborg. Overtime violations in large brands’ supply chains are often driven by rigid deadlines, short lead times, and unrealistic forecasts. If EcoLuxe’s ramp-up put too much pressure on Greenspan, demanding compliance without adjusting expectations will guarantee repeat violations.

Greenspan will need hands-on support during remediation. Vestenborg could provide experts to help improve scheduling, safety systems, and workforce planning—changes that reduce overtime and

accidents while lowering costs. In more difficult cases companies have had experienced executives shadow local management.

Paula must also prepare for outside scrutiny. When companies with environmentally responsible products are accused of unethical supply chain management, they become easy targets for watchdog groups. Paula should proactively engage relevant NGOs, confidentially explaining the situation and outlining the remediation plan. Brands that build trust with such stakeholders are often granted time to fix problems quietly, which helps protect workers.

A commitment to improvement, not perfection, is how organizations develop fully ethical supply chains. If Paula investigates rigorously, remediates seriously, and manages risk transparently, she can protect both the EcoLuxe launch and Vestenborg’s credibility. In the real world of global manufacturing, that is what responsible leadership looks like. ■

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